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Mercedes Cardona

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Yale Program on Financial Stability

Lessons Learned

Vincenzo La Via

By Mercedes Cardona

Vincenzo La Via joined the World Bank Group in 2005 as chief financial officer, in charge of financial reporting, accounting, strategic planning and budgeting, credit risk, corporate finance, market risk, liquidity and asset management, and product development. During his tenure, La Via took part in the bank's response to the Global Financial Crisis (GFC) and the subsequent European Sovereign Debt Crisis. He left the bank in 2012 to become director general of the Treasury in the Italian Ministry of Economy and Finance as the Italian government took on reform of the banking sector. He left the public sector in 2019 to become managing director and CEO for Europe and the Middle East at Promontory Financial Group. This "Lesson Learned" is based on an interview with La Via in December 2022; the full transcript may be found [here](#).

Don't fight the last battle. New threats are constantly emerging.

Under La Via's direction, the World Bank had been preparing to serve as a counterbalance to an extreme event, but it had not foreseen one as extreme as the GFC. Most regulators would have expected the next crisis to be on the scope of the derivatives-fed collapse of Long-Term Capital Management (LTCM), the massive US hedge fund whose 1998 bailout narrowly averted further instability.

Before the GFC erupted, the World Bank had strengthened its balance sheet to be ready to provide liquidity and stability in a crisis, but the extent of the GFC still caught many by surprise, he observed:

What I would tell myself, because that's a mistake that we all make, is: "Don't fight the old war." You must be on the lookout and monitor developments with an open eye, using all the information available because the next crisis is going to be different from the old crisis. We've seen it all the time. I mean, we then thought the next crisis was going to be another LTCM, and obviously it was not.

Following the GFC, all parties in the financial system have become conversant in risk, or at least financial risk, said La Via. But other risks could also pose important threats, he warned. Geopolitical risk—as seen with the Russian invasion of Ukraine—and cybersecurity risks can spawn serious events that regulators and other officials have not anticipated. A whole generation of chief risk officers (CROs) have focused stress tests on credit and market risk, but not other kinds of risks, he warned:

I sense more and more that these CROs are not ready for a potential and massive increase in nonfinancial risk, which I think could be the next crisis to happen. Because of that, I think regulators really need to further work to strengthen the resiliency of the system. We need to have CROs that are really looking at all types of risks. They should not be handled in different silos, but holistically.

Keep a lookout on the wider world. All economies are interconnected.

European regulators, both regional and country-specific, were initially unfazed by the crisis brewing in the United States. “Early recognition of the gravity of the problem right away and collective action to recapitalize banks would have really helped,” La Via said. However, he continued, most European authorities initially assumed the crisis was a problem specific to the US housing sector, so countries like Italy, which lacked a significant mortgage market, felt it was not a concern. “There was a lot of complacency everywhere in Europe about this being the problems of the others. And there was also this concept that Fortress Europe would be very resilient, that we would survive this,” said La Via.

At the time of the GFC, the European Union lacked many of the mechanisms needed to stabilize the region as a whole. Monetary and banking policy were still the remit of individual countries, and they each responded in their own way, with little coordination. In some cases, this exacerbated national debt, which would later be reflected in the Sovereign Debt Crisis in 2010.

There was not that sense of urgency in Europe. That is very clear. We also suggested to recapitalize the EIB [European Investment Bank]. The same way a well-capitalized World Bank had the ammunition to lend to developing countries, the EIB could have played a very important role in Europe’s recovery. That was not done; eventually, each country in Europe moved on its own, and there was a sort of panic in bailing out banks as they had trouble.

In the aftermath of the crises, the European Commission acted to establish the European banking union, which included the Single Supervisory Mechanism and the Single Resolution Mechanism, providing a harmonized framework for all European banks. One of the notable legacies of the GFC and the Sovereign Debt Crisis was the development of a regional stability framework that proved itself once COVID-19 caused another crisis, La Via noted:

The combination of the 2008 crisis and the Sovereign Debt Crisis was the most incredible stress test you could have imagined for Europe, and Europe survived. The sense of urgency accelerated the creation of institutions that we should have had and we did not have. And in doing that, Europe constructed a system that is now much more resilient than it was then.

Since the pandemic afflicted all nations, it was easier to find consensus to deal with the emergency, and it has continued the conversation about improving regional tools and cohesion, he said.

Europe has really worked together very well. The ECB has acted effectively. There have been a lot of initiatives at the European level, including the new national plans for recovery and resiliency. So, a lot of progress was made very quickly.

Act quickly and decisively. Do “whatever it takes” to bring back confidence.

Some measures taken to ride out the GFC contributed to economic woes that would manifest later as the Sovereign Debt Crisis. That crisis raged on until European Central Bank President Mario Draghi stated that the bank was ready to do “whatever it takes” to protect the nascent euro. Until then, “there was a lot of noise about countries not necessarily being able to stay within Europe,” said La Via. The speech marked a turning point in bringing back confidence, a necessary ingredient to any recovery.

Be ready to act quickly to help restore confidence. If I had the position, if I had the responsibility, I would act as quickly as possible, as forcefully as possible to restore confidence. Because it’s also the cheapest way to solve a crisis. Restoring confidence could be anything. It could come in the form of injecting money into the system or simply reiterating in a credible way the functioning of the system, and the full backing by the monetary authorities and the government.

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